CHAPTER 5

Measuring performance

Unit B · Learning outcome LO3 · Model: the Balanced Scorecard

A manager who only watches money sees problems too late. This chapter gives you a balanced set of measures, the key customer service KPIs, and a way to set realistic targets.

By the end of this chapter you can:

- choose KPIs from four perspectives with the Balanced Scorecard
- calculate and interpret CSAT, NPS, FCR and AI resolution rate
- recommend realistic targets, using trends and evidence

Key terms

Term	Meaning
KPI	Key performance indicator: a number that shows if you are reaching a goal
Target	The level you aim to reach by a set date
Trend	The direction a number moves over time
CSAT	Customer satisfaction score: the share of customers who say they are satisfied
NPS	Net Promoter Score: how likely customers are to recommend you
FCR	First contact resolution: problems solved in the first contact
AHT	Average handling time: how long one contact takes
Dashboard	A screen that shows the main KPIs in one place

Core idea: what gets measured gets managed

Numbers help managers see what is happening, compare teams and prove that changes work. But one number alone can mislead. If you push staff to cut handling time, they may rush customers and solve fewer problems. Good managers use a **balanced** set of measures and read the **trend**, not one month.

The Level 5 model: the Balanced Scorecard

Kaplan and Norton (1992) argued that managers should measure performance from four views, not only money:

Perspective	Question	Example KPIs
Financial	How do we look to owners?	Revenue per customer; cost per contact

Perspective	Question	Example KPIs
Customer	How do customers see us?	CSAT; NPS; complaints per 1,000 orders
Internal processes	What must we do well?	FCR; average handling time; response time
Learning and growth	How do we keep improving?	Training hours per agent; staff turnover; staff satisfaction

The four views are linked, just like the Service-Profit Chain: learning and growth improves processes, which pleases customers, which improves finances.

Use it in three steps

1. Choose one or two KPIs for each of the four views.
2. Read the trend, not just one number.
3. Set a target and explain why it is realistic.

SENTENCE FRAME

The data shows ___. I recommend a target of ___ because ___.

How to calculate the main KPIs

CSAT. Ask "How satisfied were you?" on a scale of 1 to 5. Count the 4s and 5s.

CSAT = Number of 4 and 5 answers ÷ Total answers × 100%

NPS. Ask "How likely are you to recommend us?" from 0 to 10. Scores 9–10 are **promoters**, 7–8 are **passives**, 0–6 are **detractors**.

NPS = % promoters − % detractors

NPS runs from −100 to +100. It is a number, not a percentage.

FCR. Problems solved in the first contact ÷ all contacts × 100%.

AI resolution rate. Contacts fully solved by a chatbot or AI, with no person needed, ÷ all contacts the AI handled × 100%. Check it together with CSAT: an AI that "solves" problems by frustrating customers until they give up is not a success.

Deeper theory

Setting SMART targets

A good target is **SMART** (Doran, 1981):

Letter	Meaning	Weak target	SMART target
S	Specific	"Better service"	"Raise CSAT for phone support"
M	Measurable	"Faster replies"	"Answer 80% of chats within 2 minutes"
A	Achievable	"100% satisfaction"	"Raise CSAT from 78% to 82%"
R	Relevant	"More social media posts"	"Reduce repeat calls about billing"
T	Time-bound	"Soon"	"By 31 March"

Service standards

A **service standard** tells staff exactly what good service looks like. Standards can be:

- **Hard standards:** measurable by systems. Example: "Answer the phone within three rings."
- **Soft standards:** about behaviour, measured by observation or surveys. Example: "Greet every customer with a smile and use their name."

Both are needed. Hard standards keep service fast; soft standards keep it warm.

Service level agreements (SLAs)

An **SLA** is a written promise about the level of service. It can be:

- **external**, between a company and its customers ("We fix internet faults within 24 hours"), or
- **internal**, between two teams inside the company (see Chapter 6).

A good SLA states what is promised, how it is measured, and what happens if it is missed.

More customer service KPIs

KPI	What it measures	Watch out for
CES (Customer Effort Score)	How easy it was for the customer to get help	Low effort strongly predicts loyalty (Dixon, Freeman and Toman, 2010)
Abandonment rate	Callers or chatters who give up before an answer	Rises when queues are long
Response time	Time until the first reply	Fast but unhelpful replies do not help
Resolution time	Time until the problem is solved	Rushing can lower quality
Complaint rate	Complaints per 1,000 orders or customers	A sudden rise needs root-cause analysis
Staff engagement	How committed staff feel	Falls before service quality falls

Lagging and leading indicators. Some KPIs show results **after** they happen, for example revenue and NPS. These are **lagging**. Others warn you **before** problems reach customers, for example training hours and staff engagement. These are **leading**. A good scorecard includes both.

Quality standards and awards

Organisations can follow recognised standards to prove their service quality:

Standard	What it covers
ISO 9001	Quality management systems in any organisation
ISO 10002	Guidelines for handling customer complaints (see Chapter 11)
Customer Service Excellence	A UK government standard for customer-focused public and private services
Skytrax ratings	Star ratings and awards for airlines and airports (see Chapter 3)

These standards help organisations check themselves against good practice and show customers that they take quality seriously.

Making data useful: dashboards and reports

- **Show trends,** not only this month's number.
- **Compare with a target** and a benchmark.
- **Explain the story:** what changed, why, and what you will do.
- **Keep it simple:** 6 to 8 KPIs on one page.

A warning: Goodhart's Law

Economist Charles Goodhart's idea is often summarised as: **"When a measure becomes a target, it ceases to be a good measure."** If staff are judged only on call time, they may end calls too early. Always balance speed with quality and customer feeling.

Further reading

- Kaplan, R. S. and Norton, D. P. (1996). *The Balanced Scorecard*. Boston: Harvard Business School Press.
- Dixon, M., Freeman, K. and Toman, N. (2010). "Stop Trying to Delight Your Customers". *Harvard Business Review*, July–August.
- Reichheld, F. (2006). *The Ultimate Question*. Boston: Harvard Business School Press.

Tech layer: the KPI dashboard

Modern helpdesk and CRM systems show KPIs live on a dashboard. This helps managers react quickly, for example by moving staff to the phones when waiting times rise. Two warnings:

- **Too many numbers hide the important ones.** Choose 6 to 8 KPIs.
- **Numbers change behaviour.** If agents are judged only on speed, they rush. Balance speed with quality.

Worked example: an online shop such as Noon

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine these are the KPIs of the customer service team at a big online shop such as **Noon** or **Amazon**.

KPI	Last quarter	This quarter	Industry benchmark
CSAT	82%	76%	85%
NPS	+31	+18	+35
FCR	71%	64%	75%
AHT (minutes)	7.5	5.2	6.0
AI resolution rate	20%	45%	35%

Interpretation. Handling time fell and the AI handles more, so the shop looks efficient. But CSAT, NPS and FCR all fell. Customers are being rushed, and the AI may be closing chats it has not really solved.

Recommendation. Set an FCR target of 72% next quarter (back near the old level and closer to the benchmark), check a sample of AI chats each week, and accept a slightly longer AHT of about 6 minutes.

BRAND SPOTLIGHT

Klarna: when one number is not enough

What happened. Klarna is a payments company from Sweden. In February 2024 it announced a new AI assistant for customer service. Klarna said that in its first month, the AI:

- handled 2.3 million conversations, about two-thirds of all chats
- did the work of about 700 full-time agents
- cut the time to solve a problem from about 11 minutes to under 2 minutes

The numbers looked excellent. But in 2025, Klarna's chief executive said the company would hire more human agents again. He explained that focusing on cost had led to **lower quality**, and that customers should always be able to reach a person.

Why it matters. Speed and cost are **internal process** and **financial** measures. They looked very good. But the **customer** view of quality was weaker. One side of the scorecard went up while another went down.

The lesson for managers. Never judge service on one number. Use the **Balanced Scorecard**: check money, customers, processes and people together.

Word help: *chief executive* = the most senior manager of a company.

BRAND SPOTLIGHT

Net Promoter Score: one simple question

What happened. In 2003, Fred Reichheld of the consulting firm Bain & Company wrote an article in the *Harvard Business Review* called "The One Number You Need to Grow". He suggested asking customers one question: **"How likely are you to recommend us to a friend or colleague?"** This became the **Net Promoter Score (NPS)**.

Why it matters. NPS is quick to ask and easy to understand. Thousands of companies around the world now use it, from airlines to banks to mobile networks.

The lesson for managers. NPS is useful, but even its name says "one number". A good manager uses NPS **together with** other KPIs, such as FCR and staff turnover, and always asks **why** the score is moving.

QATAR SPOTLIGHT

Doha Metro: service you can measure

What happened. Doha Metro opened in May 2019. Qatar Rail measures its service with clear KPIs. At the metro's fifth anniversary, Qatar Rail reported **punctuality of 99.66%**, with regularity and availability also above 99%. During the World Cup, the metro's busiest day was **24 November 2022**, with **828,115 passengers**.

Why it matters. Passengers care about being on time. A public KPI like punctuality shows clearly whether the promise is kept.

The lesson for managers. Choose KPIs that match what customers care about, measure them often and share them. Remember the Balanced Scorecard: punctuality is an **internal process** measure, so also ask passengers how satisfied they are (the **customer** view).

Word help: *punctuality* = being on time.

Is this model perfect?

Strengths of the Balanced Scorecard	Limits of the Balanced Scorecard
Looks at four views, not only money	Choosing the right KPIs takes time and thought
Shows links between staff, processes, customers and finance	Too many KPIs make it confusing
Gives early warnings before profit falls	KPIs can be "gamed": staff may chase the number, not the goal
Easy to show on a dashboard	Numbers do not explain **why** something happened

How to use this in an answer: "The scorecard shows ___. However, a KPI can be misleading if ___, so I would also ___."

Useful language

Describing data

- "CSAT rose from 78% to 84% over six months."
- "FCR fell sharply in March, then stayed flat."
- "NPS is below the industry benchmark of +35."

Explaining causes

- "This may be because ___."
- "The trend suggests that ___."

Setting targets

- "I recommend a target of ___ by ___ because ___."
- "This target is realistic because last year we improved by ___."

Practice case: H&M online store

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine you manage customer service for the **H&M** online store in one country. Here are your KPIs for the last four quarters:

KPI	Q1	Q2	Q3	Q4
Revenue ($ million)	2.1	2.3	2.6	2.8
CSAT	85%	83%	79%	74%
NPS	+38	+33	+25	+17
FCR	73%	70%	66%	61%
Returns per 100 orders	12	14	17	21
Staff turnover (per quarter)	5%	7%	10%	14%
Training hours per agent	12	8	4	2

Your country manager says, "Revenue is growing every quarter. Customer service is fine."

Guided questions

1. **Analyse:** Put each KPI into one of the four Balanced Scorecard views.
2. **Analyse:** Describe the trend for each view in one sentence.
3. **Evaluate:** Is the country manager right? Use at least three KPIs as evidence.
4. **Analyse:** Which view do you think changed first? How might it have caused the others to change?
5. **Recommend:** Set realistic targets for FCR and training hours for next quarter, and explain why.

Hint: look at the learning and growth KPIs. They often move first.

Think local

Choose a brand whose app you use, for example **Talabat**, **Ooredoo** or **Qatar Airways**.

1. After using the app or service, how are you asked to rate it? Is it **CSAT**, **NPS** or something else?
2. Suggest one KPI for each Balanced Scorecard view for this brand.
3. If the brand's chatbot answered faster but customers were less happy, what would you recommend?

Teachers: replace these brands with any brands your students know well.

Common mistakes managers make

- **Measuring only speed.** Fast but wrong is not good service.
- **Too many KPIs.** Thirty numbers on a dashboard hide the five that matter.
- **Reacting to one month.** Look for the **trend** over several months.
- **Targets that are too high.** If a target is impossible, staff give up or find ways to cheat the number.
- **Forgetting the staff view.** Learning and growth KPIs (training, turnover) warn you early.

Apply it: build a mini scorecard

Choose a business you know, such as a restaurant, clinic or bank.

1. Draw a square with four boxes: **Financial**, **Customer**, **Internal processes**, **Learning and growth**.
2. Write two KPIs in each box.
3. For each KPI, write how you would measure it. Example: CSAT, from a 5-question survey after each visit.
4. Choose one KPI. Write a target for next quarter and explain why it is realistic.

Chapter summary

- A **KPI** shows whether you are reaching a goal. Read the **trend**, not one number.
- The **Balanced Scorecard** has four views: **financial, customer, internal processes, learning and growth**.
- **CSAT** = share of satisfied customers. **NPS** = % promoters − % detractors. **FCR** = solved in the first contact.
- **AI resolution rate** must be checked together with customer satisfaction.
- Set targets that are realistic, based on the trend and benchmarks.

Review quiz

1. Which is a **learning and growth** KPI?
   a. Revenue per customer
   b. Staff training hours
   c. NPS
   d. Average handling time
2. 60 promoters, 25 passives, 15 detractors (out of 100). NPS is…
   a. +45
   b. +60
   c. +85
   d. –15
3. FCR measures…
   a. how fast the phone is answered
   b. problems solved in the first contact
   c. how many customers complain
   d. staff happiness
4. Klarna's AI was very fast and cheap, but the company later hired more people because…
   a. the AI was too slow
   b. quality for customers was lower
   c. the AI cost too much
   d. customers did not use chat
5. The best way to judge service performance is…
   a. one number only
   b. sales only
   c. a balanced set of KPIs and their trends
   d. speed only

Check your understanding

1. Name the four Balanced Scorecard perspectives with one KPI each.
2. 200 customers answered: 150 gave 4 or 5. What is the CSAT?
3. 100 customers: 50 promoters, 30 passives, 20 detractors. What is the NPS?
4. Why can a falling AHT be bad news?
5. *Level 5 question:* A manager wants to raise the AI resolution rate to 70%. Evaluate the risks and suggest a balanced target.

Capstone step 5

Find or estimate KPI data for your chosen organisation. **Interpret the data** using the four perspectives and **recommend targets** for two KPIs, with reasons.